



Data Analysis & Business Understanding

AI/ML Internship

Week 1 Task

Title: Exploratory Data Analysis of the Online Retail II Dataset

Submitted By:

Name: Areeba Amjad

Roll No: AIMLB01-4950

Submitted To:

Supervisor: Rayyan Khan

Deadline: 4th July 2026

Objective:

A retail company wants to understand customer purchase behavior before investing in a recommendation system. Acting as a data analyst, you are required to explore the provided dataset, identify patterns and data quality issues, and produce a complete Exploratory Data Analysis (EDA) report that helps the company understand who its customers are, which products sell the most, and which countries generate the most revenue.

Dataset Information:

Dataset Name: Online Retail II

Source: UCI Machine Learning Repository

Description:

The dataset contains transactions from a UK-based online retail company between 2009 and 2011. Each record represents one purchased product in a customer invoice.

Tools Used:

- Python
- Jupyter Notebook

Libraries Used

- **Pandas**

Used for Data manipulation.

- **NumPy**

Used for Numerical Operations.

- **Matplotlib**

Used for creating graphs and charts.

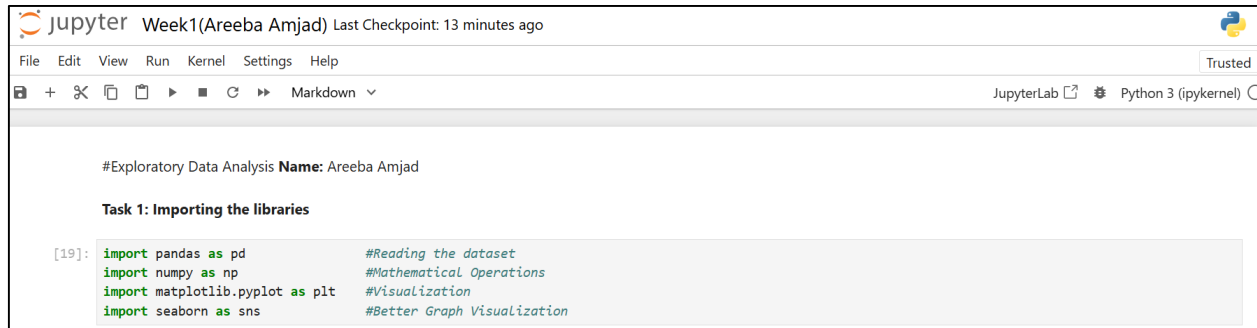
- **Seaborn**

Used for creating statistical visualizations

Task Implementation:

Task 1: Importing the Libraries

All the necessary libraries are imported once so they can be used later on without importing them again and again.



```
#Exploratory Data Analysis Name: Areeba Amjad

Task 1: Importing the libraries

[19]: import pandas as pd          #Reading the dataset
      import numpy as np          #Mathematical Operations
      import matplotlib.pyplot as plt #Visualization
      import seaborn as sns       #Better Graph Visualization
```

Task 2: Loading the Dataset



```
Task 2: Loading the Retail Dataset

[9]: ds=pd.read_excel("C:/Users/Laptop Zone/OneDrive/Desktop/online_retail_II.xlsx")
```

Task 3: Displaying Basic Information

In order to understand the basic structure of the data its shape, columns and data type were examined.



```
Task 3: Displaying Basic Information

[10]: print("\n=====Shape of Dataset:=====\n",ds.shape)
      print("\n=====Columns of Dataset:=====\n")
      print(ds.columns)
      print("\n=====DataType of Dataset:=====\n")
      print(ds.dtypes)

=====Shape of Dataset:=====
(525461, 8)

=====Columns of Dataset:=====
Index(['Invoice', 'StockCode', 'Description', 'Quantity', 'InvoiceDate',
       'Price', 'Customer ID', 'Country'],
      dtype='str')

=====DataType of Dataset:=====
Invoice           object
StockCode         object
Description        object
Quantity          int64
InvoiceDate       datetime64[us]
Price             float64
Customer ID       float64
Country           str
dtype: object
```

Task 4: Missing Values and Duplicate Rows

The quality of data was examined by checking the columns having null values and duplicate records. Data was only observed, no deletion of data is performed.

```
Task 4: Identification of Missing Values and Duplicating Rows

[11]: print("Missing Values:\n")
      print(ds.isnull().sum())
      print("\nDuplicated Rows:", ds.duplicated().sum())

Missing Values:

Invoice          0
StockCode         0
Description      2928
Quantity         0
InvoiceDate      0
Price           0
Customer ID     107927
Country         0
dtype: int64

Duplicated Rows: 6865
```

Task 5: Revenue Calculation

A new column was added to the data set with the name revenue which was the product of Quantity and price. Later top 5 rows from the data were displayed.

```
Revenue Calculation

[12]: ds["Revenue"] = ds["Quantity"] * ds["Price"] #Creating a new column of Revenue in Dataset
      ds.head() #Displaying few rows from Dataset

[12]:
```

	Invoice	StockCode	Description	Quantity	InvoiceDate	Price	Customer ID	Country	Revenue
0	489434	85048	15CM CHRISTMAS GLASS BALL 20 LIGHTS	12	2009-12-01 07:45:00	6.95	13085.0	United Kingdom	83.4
1	489434	79323P	PINK CHERRY LIGHTS	12	2009-12-01 07:45:00	6.75	13085.0	United Kingdom	81.0
2	489434	79323W	WHITE CHERRY LIGHTS	12	2009-12-01 07:45:00	6.75	13085.0	United Kingdom	81.0
3	489434	22041	RECORD FRAME 7" SINGLE SIZE	48	2009-12-01 07:45:00	2.10	13085.0	United Kingdom	100.8
4	489434	21232	STRAWBERRY CERAMIC TRINKET BOX	24	2009-12-01 07:45:00	1.25	13085.0	United Kingdom	30.0

Task 6: Top 10 best-selling products

Using the Description column the products were grouped. The top 10 products were identified based on total Quantity sold and total Revenue generated.

❖ Quantity:

```
[13]: #Displaying Top 10 products grouped by Quantity
      top_Quantity = ds.groupby("Description")["Quantity"].sum()
      top_Quantity = top_Quantity.sort_values(ascending=False)
      top_Quantity = top_Quantity.head(10)
      print("\n===== Top 10 Products by Quantity =====\n\n", top_Quantity)

===== Top 10 Products by Quantity =====

Description
WHITE HANGING HEART T-LIGHT HOLDER    57733
WORLD WAR 2 GLIDERS ASSTD DESIGNS     54698
BROCADE RING PURSE                     47647
PACK OF 72 RETRO SPOT CAKE CASES      46106
ASSORTED COLOUR BIRD ORNAMENT         44925
60 TEATIME FAIRY CAKE CASES           36326
PACK OF 60 PINK PAISLEY CAKE CASES    31822
JUMBO BAG RED RETROSPOT               30727
SMALL POPCORN HOLDER                  29500
STRAWBERRY CERAMIC TRINKET BOX         26563
Name: Quantity, dtype: int64
```

❖ Revenue:

```
#Displaying Top 10 products grouped by Revenue
top_Revenue= ds.groupby("Description")["Revenue"].sum()
top_Revenue = top_Revenue.sort_values(ascending=False)
top_Revenue = top_Revenue.head(10)
print("\n===== Top 10 Products by Revenue===== \n\n",top_Revenue)
```

```
===== Top 10 Products by Revenue=====
```

```
Description
REGENCY CAKESTAND 3 TIER          163051.46
WHITE HANGING HEART T-LIGHT HOLDER 157865.43
DOTCOM POSTAGE                    116401.99
ASSORTED COLOUR BIRD ORNAMENT     72454.12
PAPER CHAIN KIT 50'S CHRISTMAS    57870.20
JUMBO BAG RED RETROSPOT           56444.61
PARTY BUNTING                    49645.52
ROTATING SILVER ANGELS T-LIGHT HLDR 47672.49
POSTAGE                           46092.36
JUMBO BAG STRAWBERRY              36699.61
Name: Revenue, dtype: float64
```

Task 7: Sales performance analysis by country

Country-wise analysis was performed in order to calculate the total revenue, total quantity sold and total number of unique orders placed.

Task 7: Sales Performance by Country

```
[14]: sales_performance=ds.groupby("Country").agg({
      "Revenue": "sum",
      "Quantity": "sum",
      "Invoice": "nunique"})
sales_performance=sales_performance.sort_values(by="Revenue",ascending=False) #Sorting Data in Descending order
sales_performance.columns=["Total Revenue","Total Quantity","Total Orders"] #Renaming Columns for better understanding
sales_performance=sales_performance.head(10)
print(sales_performance)
```

	Total Revenue	Total Quantity	Total Orders
Country			
United Kingdom	8194777.533	4429046	26633
EIRE	352242.730	188704	457
Netherlands	263863.410	181823	150
Germany	196290.351	107133	513
France	130769.900	74471	297
Sweden	51213.510	52238	83
Denmark	46972.950	227030	33
Switzerland	43343.410	22053	50
Spain	37084.900	18332	85
Australia	30051.800	20053	50

Visualization of sales performance:

The result was then sorted by total revenue and lastly the performance was visualized using bar chart.

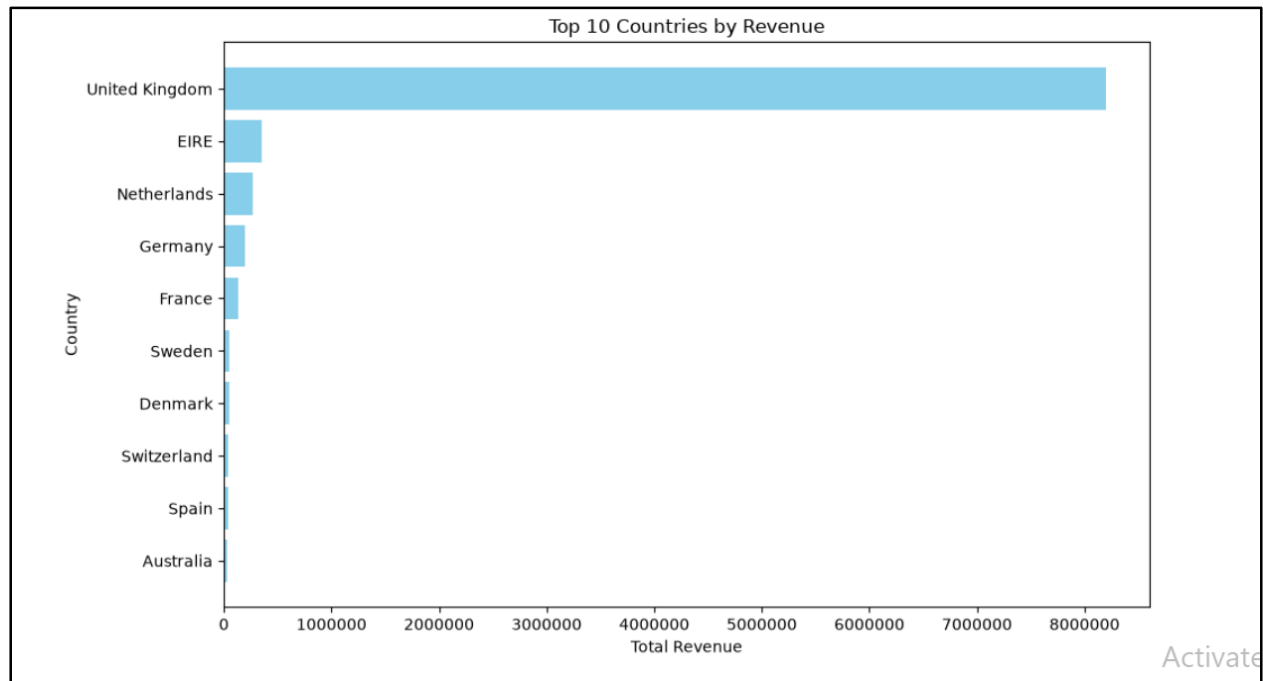
Sales Performance Visualized by Bar Graph

```
[20]: top10=sales_performance.head(10)
plt.figure(figsize=(10,6))
plt.barh(top10.index, top10["Total Revenue"], color="skyblue")

plt.title("Top 10 Countries by Revenue")
plt.xlabel("Total Revenue")
plt.ylabel("Country")

plt.gca().invert_yaxis()

plt.tight_layout()
plt.ticklabel_format(style='plain', axis='x')
plt.show()
```



According to the bar graph:

United Kingdom generated the highest revenue among all the other countries, contributing more than 8 million in total revenue. This indicates that the company has highest sales performance in UK as compared to other countries.

Task 8: Monthly Revenue Trend

- The invoice date column was converted into date time format and month was extracted from each column.
- The data was then grouped by month so total revenue generated per month can be calculated.
- A line graph was then plotted in order to understand the monthly trend.

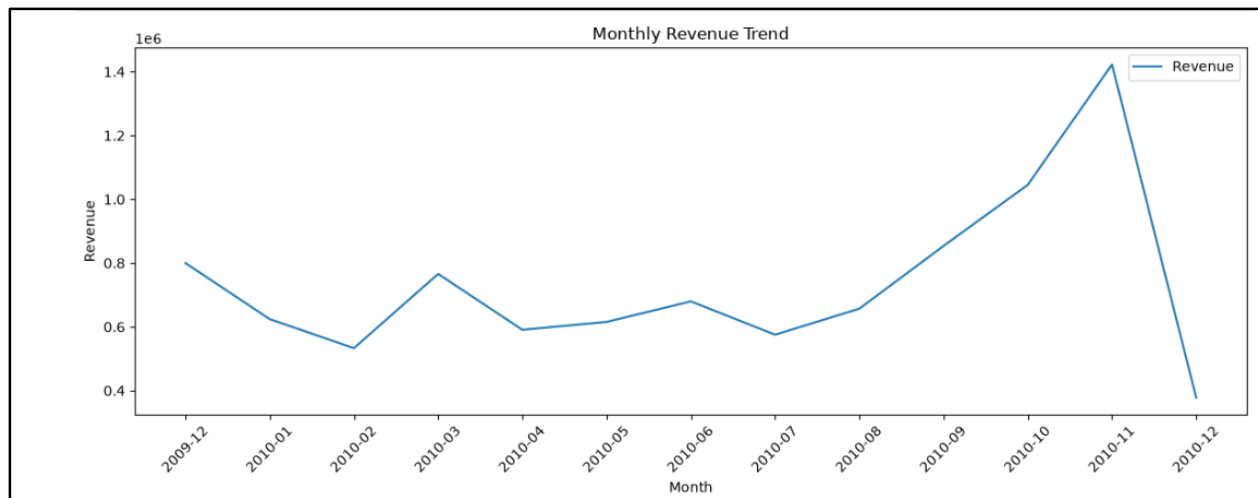
Task 8: Monthly Revenue Trend

```
[16]: ds["InvoiceDate"] = pd.to_datetime(ds["InvoiceDate"]) # Converting InvoiceDate to proper date format in python
      ds["Month"] = ds["InvoiceDate"].dt.to_period("M")
      monthly_revenue = ds.groupby("Month")["Revenue"].sum()

      plt.figure(figsize=(12,5))
      plt.plot(monthly_revenue.index.astype(str), monthly_revenue.values, label='Revenue')
      plt.legend()

      plt.title("Monthly Revenue Trend")
      plt.xlabel("Month")
      plt.ylabel("Revenue")
      plt.xticks(rotation=45)
      plt.tight_layout()
      plt.show()
```

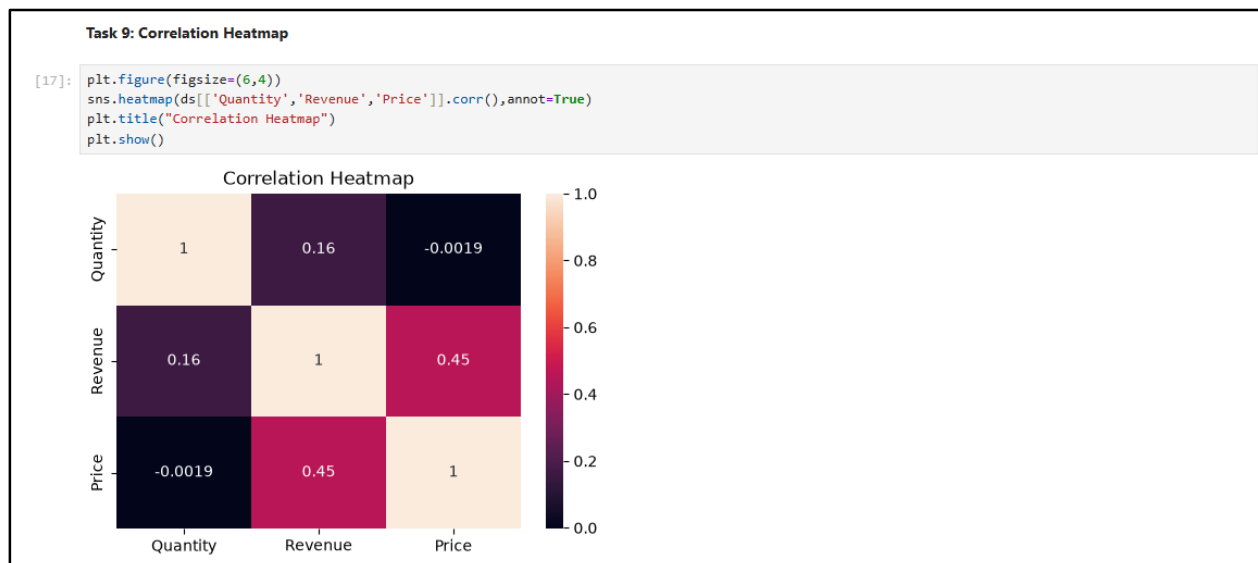
Line Graph



According to the graph, the monthly trend fluctuated throughout the year. It keeps on increasing and decreasing during initial months but spiked towards the end of the year reaching its highest point in November 2010. Then there was a sharp decline in December 2010 which is likely due to missing or incomplete data present for the entire month.

Task 9: Correlation Heat map

Correlation heat map was used to examine the relation between Quantity, Price and Revenue. It was created using Seaborn in order to clearly visualize the correlation coefficients between these variables.



Correlation value of 1 indicates a strong correlation between 2 variables. While a value closer to 0 indicated weak to moderate correlation.

From the map we can observe:

- Strong correlation exists when values are compared with themselves.
- Moderate positive correlation (**0.45**) is present between Revenue and Price indicating that higher priced product contributes to higher revenue.
- Weak positive correlation (**0.16**) exist between Quantity and Revenue indicating selling more products do not significantly affect the revenue.
- A weak or almost zero negative correlation (**-0.0019**) exists between Quantity and Price indicating that number of item purchased is not related to the price of the product.

Task 10: Outlier Detection Using Boxplot

Using boxplot outlier were detected which are the extreme values present in the data that may influence the results of data analysis.

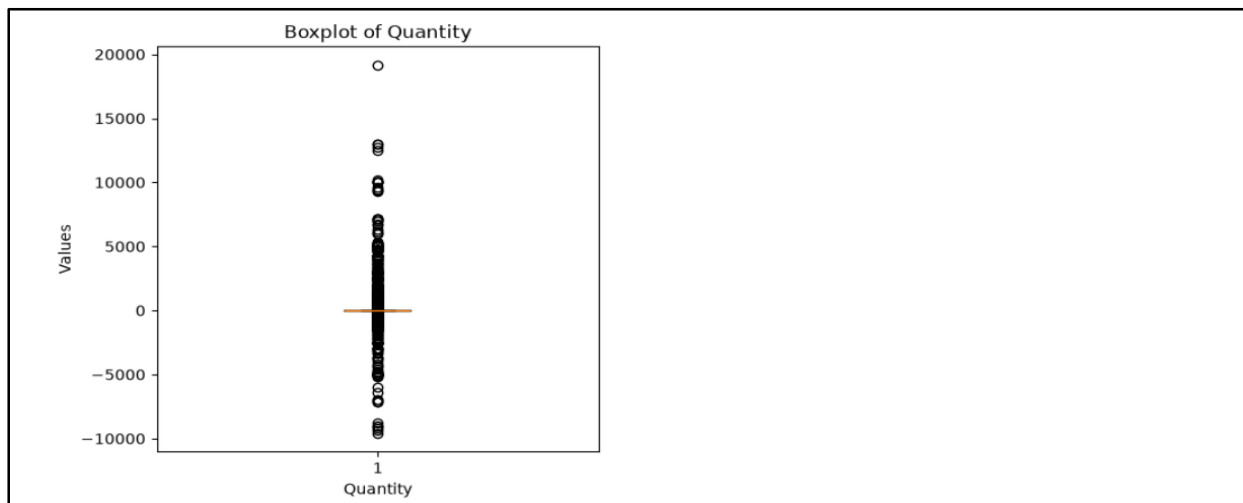
```
[24]: plt.figure(figsize=(5,5))
      plt.boxplot(ds['Quantity'])           # Outlier detection for Quantity
      plt.title("Boxplot of Quantity")
      plt.xlabel("Quantity")
      plt.ylabel("Values")
      plt.show()

      plt.figure(figsize=(5,5))
      plt.boxplot(ds['Price'])              # Outlier detection for Price
      plt.title("Boxplot of Price")
      plt.xlabel("Price")
      plt.ylabel("Values")
      plt.show()

      plt.figure(figsize=(5,5))
      plt.boxplot(ds['Revenue'])            # Outlier detection for Revenue
      plt.title("Boxplot of Revenue")
      plt.xlabel("Revenue")
      plt.ylabel("Values")
      plt.show()
```

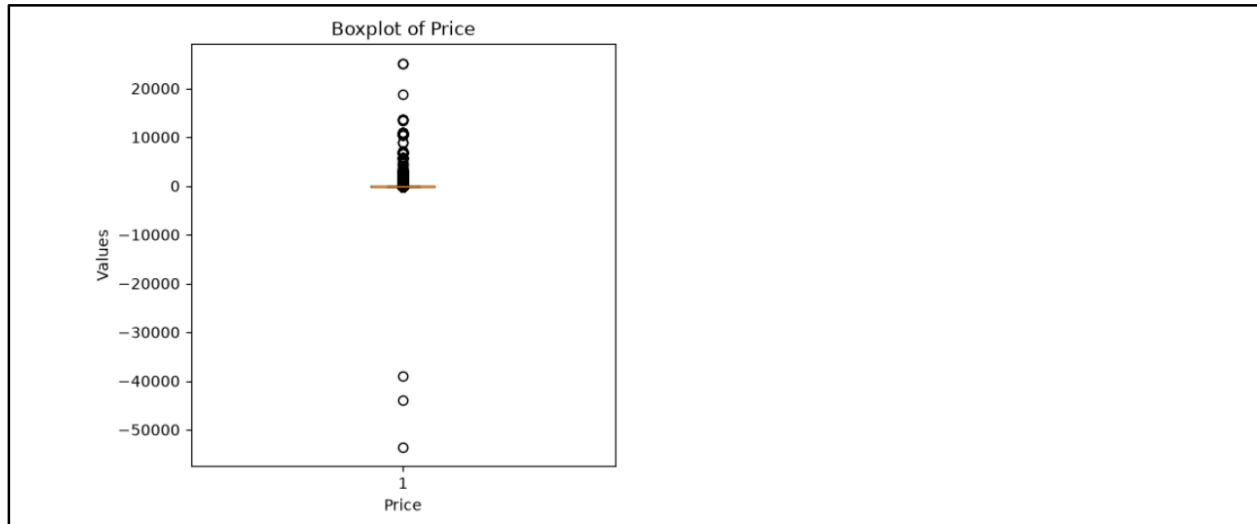
Boxplot for Quantity:

It shows several outliers above and below the normal range. The high positive values indicates bulk order while high negative values indicates returned or cancelled orders. While most of the transactions involve small quantities.



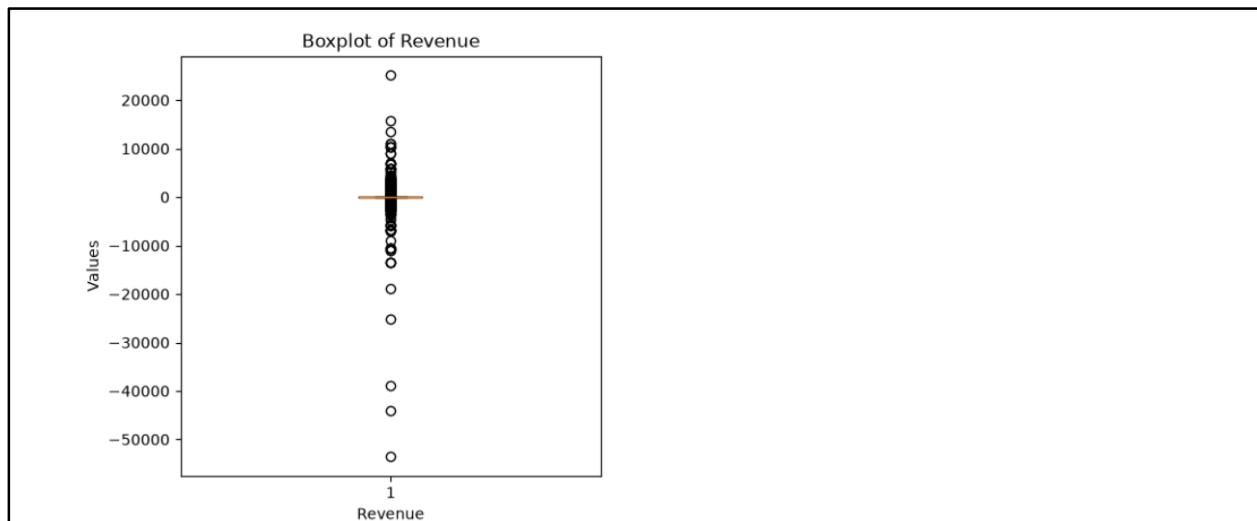
Boxplot for Price:

It contain outliers, most of the products are sold at lower prices while few products have high or negative prices making them outliers.



Boxplot for Revenue:

Higher positive values represents large value transactions, while negative values represent either returned or cancelled orders which resulted in negative revenue.



Business Insights:

1. United Kingdom is the company's primary market as highest revenue was generated there as compared to other countries.
2. Monthly revenue fluctuated throughout the observed period which indicates that customer purchasing behaviors changes frequently.

3. Few products contributes more to the revenue and the total sales which indicates these products are in high demand.
4. Higher priced products contribute more to the revenue than the quantity sold.
5. Quantity boxplot indicates bulk purchases and Revenue boxplot indicates high-value transactions.

Conclusion

This first week of the AI/ML Internship focused on developing a strong foundation in data analysis and business understanding through Exploratory Data Analysis (EDA) of the Online Retail II dataset. By successfully examining the dataset, identifying data quality issues, analyzing customer purchasing behavior, evaluating sales performance across products and countries, and visualizing key trends, I gained practical experience in transforming raw data into meaningful business insights.

The task strengthened my understanding of essential data analysis techniques, including data inspection, handling missing values and duplicate records, revenue analysis, correlation analysis, trend visualization, and outlier detection using Python libraries such as Pandas, NumPy, Matplotlib, and Seaborn.

Overall, this week's experience enhanced both my analytical and technical skills while providing a solid foundation for more advanced data preprocessing, machine learning, and predictive analytics tasks in the upcoming weeks of the internship.